

Integrated Retirement Income Reform in New Zealand: Modelling Policy Packages and Trade-offs

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Abstract

New Zealand's retirement income system faces growing pressure from population ageing, rising fiscal costs and uneven savings outcomes. Debate often focuses on single levers, but reforms interact across a range of KiwiSaver and NZ Super settings. This paper uses scenario-based modelling to examine selected policy changes relative to a baseline case and then uses a wider scenario set to identify the characteristics that shape outcomes across cohorts and income groups.

Two patterns stand out. Stronger KiwiSaver settings raise projected balances, but only gradually, and their effects depend on time to retirement, earnings and the consistency of contributions. NZ Super changes affect income much sooner, and most sharply for cohorts close to retirement. These results show why reform should be assessed as a package, rather than as separate changes to individual settings.

The paper does not identify a single preferred reform plan. Instead, it shows how modelling can support the development of credible transition paths over time. The results support a two-step approach: build private saving capacity first, while doing the detailed policy work on NZ Super, then make any major NZ Super changes only with clear notice and enough time for affected cohorts to adjust.

Keywords

Retirement income policy, KiwiSaver, NZ Super, distributional analysis, cohort differences, policy sequencing, transition, age of eligibility

Introduction

The main levers of retirement income reform are closely linked. Changes to KiwiSaver and NZ Super interact, shaping how reform plays out over time and across people.

This paper draws on a set of 1,200 scenarios, built by applying 50 cases of policy settings and saving patterns to 24 illustrative household types. The analysis first uses selected comparisons to show how individual levers work relative to a baseline case. It then uses the wider scenario set to identify which characteristics shape outcomes and transition risks across cases.

The results support a two-step process. The first step is to strengthen private saving capacity while beginning detailed NZ Super policy work immediately. The second is to make any major NZ Super changes only after stronger private saving settings have had time to build, and with clear notice for affected cohorts.

The paper first explains why a 10-year pathway is needed. It then sets out the modelling exercise. The main sections report the baseline scenario and selected variations across KiwiSaver settings, contribution gaps, NZ Super levers and combined reform options. A final synthesis section then draws on the wider scenario set to identify the drivers of variation before the conclusion draws out implications for policy design.

The paper also sits alongside recent work on retirement income modelling, KiwiSaver design and NZ Super reform. That work has shown the diversity of retirement experiences, the importance of KiwiSaver settings, and the fiscal and distributional issues raised by NZ Super (Binning, McKenzie, Özbilgin and Smith (2024); Stephens, Eglinton and Cleveland, 2025; O’Connell, 2025; Reyers and Mawson, 2025; St John, 2025). The contribution here is to focus on how the timing of KiwiSaver and NZ Super changes affects transition risk across cohorts, rather than treating each lever as a separate design choice.

Why a 10-year reform pathway for retirement income policy is needed

Policy settings reflect the problems and expectations of their time. To give one example, at one point New Zealand had tax exemptions for items such as church bells, saddle bags and school chalk (New Zealand Gazette, 1955). No one would seriously argue policies like these would make sense today. The question is not just cost, but whether policy remains appropriate as circumstances change.

Retirement income policy faces the same set of questions: not just whether current settings can be funded for another few years, but whether they remain right for the decades ahead. People are working and living for longer, birth rates are falling all around the world, health costs are rising and the share of people reaching retirement owning their own homes outright is falling (TAAORC, 2025). Without reform population ageing will increase the cost of NZ Super and mean future governments have less capacity to respond to changing need.

The difficulty is that NZ Super is also the main income floor in retirement. Many people rely on it for most of their income, and many working-age households are not on track to build enough private saving to absorb a sudden delay or reduction in public support (Gamble, 2024; Perry, 2024).

A related issue is trust and the risk of policy change without warning. Retirement income decisions are made over long horizons, and people rely on stable expectations when planning saving, work and retirement timing. The 2025 Review of Retirement Income Policies emphasised that trust depends on clear rules, stable settings and open communication, and that poorly signalled or abrupt changes can undermine confidence in the system (TAAORC, 2025).

This highlights a basic policy tension. Leaving reform too late may force larger or more difficult changes later, but moving too quickly would place the burden on people who have had little time to prepare. The modelling in this paper is used to examine this tension.

This also reflects a wider literature on why major reforms are often delayed. The 2025 Review of Retirement Income Policies noted the political economy argument that agreement on the need for change does not automatically lead to action. Alesina and Drazen’s (1991) “war of attrition” model suggests reforms can be postponed when different groups disagree about how adjustment costs should be shared.

In retirement income policy this issue is particularly important because changes affect cohorts differently. One contribution of modelling is therefore to make these distributional consequences more explicit, helping identify who is affected, by how much, and how much time they have to adjust.

KiwiSaver changes affect outcomes gradually. Balances grow through contributions, employer payments and investment returns, and the gains are largest where people have many years left to save. NZ Super changes can affect income much sooner. A higher eligibility age removes support around age 65 until the new age is reached. Income testing reduces support for people with other income. Changes to indexation alter the value of payments more broadly over time.

A two-step process responds to this problem. In the first step, policy should focus on KiwiSaver contribution settings, addressing breaks in contributions, improving outcomes for the self-employed, improving hardship settings and ensuring better data. It should also begin the detailed policy work needed on NZ Super, including considering eligibility age, indexation, income testing and transition design. The point of this first step is to improve the evidence before any major changes to NZ Super take effect.

The second step is where any major changes to NZ Super would take effect, but only with clear notice and enough time for affected cohorts to adjust. This allows the government to signal the direction of reform early while avoiding sudden losses for people least able to respond.

This also reflects the 2025 Review of Retirement Income Policies, which emphasised long-term stewardship as the foundation for maintaining trust. A structured pathway with early signalling and long notice periods reduces the risk of abrupt adjustment and helps sustain confidence in both NZ Super and KiwiSaver.

The role of modelling

One challenge in retirement income reform is that the main policy choices do not affect people in the same way or at the same time. A reform package therefore needs to be assessed by looking at both pillars together, rather than by considering each lever in isolation.

The 2025 Review of Retirement Income Policies emphasised safe policy change, long-term stewardship and the need for a clearer roadmap for retirement income policy. It also stressed that trust matters because people make saving and retirement decisions over many years. Sudden or poorly explained changes can reduce confidence, while stable and transparent policy settings make it easier for people to plan.

Modelling has a key role in this process. It can make the consequences of choices visible. It allows options to be compared on a consistent basis, shows the size and timing of effects across cohorts, and helps identify where transition risks are likely to be concentrated.

This is consistent with the approach in areas like social investment and infrastructure (TAAORC, 2025). The focus is not only on current costs or current entitlements, but on how policy settings shape outcomes over time. In retirement income policy, that means asking whether people have enough time and capacity to respond before major changes take effect. It also means testing whether reforms intended to improve long-term sustainability create short-term adequacy risks for particular cohorts.

Modelling can narrow the ground of disagreement by making assumptions, options and trade-offs visible. It can give Ministers, officials, industry and the public a common evidence base for testing options, understanding transition risks and debating the choices that remain. This matters because durable retirement income reform depends not only on technical analysis, but also on whether people trust the process used to develop it.

A useful modelling programme should not rely on a single approach. Different models answer different questions, and each has strengths and limits.

One group of approaches focuses on detailed policy design and representative cases. Scenario modelling, as used in this paper, shows how specific policy settings affect illustrative households and cohorts over time. It is well suited to identifying mechanisms, timing effects and transition risks, but it should not be read as a population forecast or a fiscal costing.

A second group focuses on population-level effects. Microsimulation modelling applies policy settings across large datasets to estimate impacts for different income groups, household types and cohorts. It is useful for assessing distributional outcomes and aggregate effects, but generally does not account for an economy-wide perspective.

A third group focuses on long-run system-wide effects. Overlapping generations (OLG) and related models allow for fiscal, macroeconomic and intergenerational interactions, including how policy settings affect savings, labour supply and public finances over time. These models add an economy-wide perspective, but usually with less policy and population detail than microsimulation approaches.

Bringing these approaches together helps clarify where results align and where they depend on modelling assumptions. The point is not to build a single definitive model, but to develop complementary evidence that can be tested, compared and improved over time.

The prototype scenario model and how it should be interpreted

This paper uses a prototype Retirement Income Calculator to project KiwiSaver balances, retirement drawdown and NZ Super income under different settings.¹ The run covers 1,200 scenarios, produced by applying 50 cases covering different policy settings and saving patterns to 24 illustrative household types. The results reported first focus on selected comparisons drawn from this set. A later synthesis section uses the wider set to identify the characteristics that shape outcomes across scenarios. The scenarios are illustrative tests of changes in policy settings and saving patterns. They are not recommendations for specific reforms.

The 50 cases are organised into four groups: KiwiSaver contribution rates; other drivers of KiwiSaver balances; NZ Super reform options; and integrated reform options. The cases are structured to cover policy-relevant differences in age, income, balances, work interruptions and household type. They are not calibrated to reproduce the population. The results should be read as directional comparisons across settings, not as estimates of population-wide effects or precise fiscal impacts.

The numerical examples in this paper use a baseline of a person with \$80,000 gross earnings and a 1 June 1986 birthdate, with 4+4 KiwiSaver contributions, a \$40,000 current balance, continuous saving, a balanced fund earning 3.5% net of taxes and fees during accumulation, post-65 returns of 2.5% net of taxes and fees, stable wage growth of 3.5%, inflation of 2%, and real-annuity drawdown to age 90.

The results should be read with three limits in mind. First, the scenarios are illustrative and are not calibrated to reproduce the population. They show relative effects across policy settings and household types, not population averages or forecasts.

¹ The model code is available at: <https://github.com/PatrickNolanNZL/Retirement-Calculator>.

Second, the modelling does not estimate fiscal savings from alternative start dates. Trade-offs are therefore not quantified in fiscal terms. The contribution of the paper is to identify the transition risks created when public-pillar changes take effect before private saving has had time to build.

Table 1: the baseline scenario

Component	Setting
KiwiSaver	4+4 contribution rates; current balance \$40,000; continuous saving; balanced fund; 3.5% return net of taxes and fees during accumulation; post-65 return of 2.5% net of taxes and fees
NZ Super	Current eligibility age, value and indexation
Economic assumptions	Stable wage growth of 3.5%; inflation of 2%
Decumulation	Real annuity to age 90, with drawdown from 65

Third, the paper reports only a subset of the scenarios that can be modelled. The prototype calculator is capable of incorporating features such as first-home withdrawals, voluntary contributions and alternative contribution pathways. These are important aspects of KiwiSaver participation and may materially affect outcomes for some individuals. However, given space constraints, the analysis focuses on the policy settings and behavioural patterns most directly relevant to the sequencing of KiwiSaver and NZ Super reform.

The model also does not fully capture behavioural responses such as opt-outs, savings suspensions, hardship withdrawals, employer responses or changes in labour supply. These responses would matter in implementation, especially if contribution defaults were raised. If anything, they make understanding sequencing and transition design more important.

How cohorts and scenarios are defined

Cohorts are defined by how long they have until retirement. The 35–44 cohort has substantial time before retirement. The 45–54 cohort still has time, but less. The 55–59 cohort is approaching retirement. The 60–65 cohort has very little time before the current NZ Super age and limited scope to offset tighter settings through extra saving.

Table 2: cohort definitions and adjustment margins

Cohort label	Definition used in the synthetic run	Adjustment margin
35–44	Early-to-mid working life	Long horizon for extra saving, employment adjustment and retirement planning
45–54	Mid-to-late working life	Meaningful but shorter horizon for adjustment
55–59	Approaching retirement	Limited remaining accumulation period
60–65	Near-retirement cohort	Very limited practical scope to offset higher eligibility ages or early income loss

A reform announced today and, say, starting in 10 years would affect each group differently. Younger cohorts could still adapt. Mid-life cohorts have less room. Near-retirement cohorts have little practical ability to offset a large change in eligibility or public support. This means a reform is not only defined by its final settings. It is also defined by its start date, because the start date determines which cohorts have time to respond and which do not.

Table 2 shows why transition issues vary among cohorts. A reform that starts in the same year does not land evenly across age groups. Younger people have more time to adjust through saving, work and retirement planning. Near-retirement cohorts have less scope to respond, so changes that reduce or delay support create greater transition risk.

The next step is to test how the main policy levers work across these cohorts. Table 2 groups the 50 cases into four groups. The first two blocks focus on KiwiSaver and the build-up of private saving. The third tests the main NZ Super levers. The fourth combines the two to show whether stronger private saving can offset later changes to NZ Super.

Table 3: policy questions tested in the scenarios

Scenario	Main question	Illustrative settings tested
Contribution rates	How do higher contribution rates increase balances?	4/4 and 6/6 rates
Other things that influence KiwiSaver balances	How sensitive are results to returns, earnings and contribution continuity?	Conservative, balanced and growth fund assumptions; median-wage and higher-earnings cases; gap cases
NZ Super reform options	How do eligibility age, income testing and indexation work differently?	Age-67, CPI-indexation and income-testing variants
Integrated reform options	How much can stronger private saving offset later NZ Super reform?	Higher KiwiSaver settings considered alongside NZ Super reform options

Increasing KiwiSaver contribution rates

The modelling shows how higher contribution rates increase KiwiSaver balances. When the contribution rate rises, a larger share of earnings is saved in each pay period. Over time, this leads to higher balances at retirement. In the scenario results, moving from baseline settings to higher rates produces large increases in balances.

The distinction between nominal and real balances also matters. Nominal balances can appear large simply because wages and prices rise over time. Real balances provide a better guide to changes in retirement purchasing power and are the focus of the analysis that follows.

The increase in balances comes from the way KiwiSaver builds over time. Contributions are made regularly and are invested, so the effect builds up over a working life rather than appearing at a single point in time.

The size of the effect depends on how long the higher contributions are made. For younger cohorts, higher rates apply over many years, so the increase in balances is larger. For those closer to retirement, the same increase in contribution rates applies for fewer years, so the effect on balances is smaller.

The modelling shows how higher balances translate into higher retirement income. The model does this by converting the projected KiwiSaver balance at withdrawal age into an annual drawdown amount. In the baseline case used here, the drawdown is calculated as a real annuity to age 90: the balance at retirement is converted into today's dollars, an assumed real post-retirement return is applied, and the model calculates the constant real annual amount that can be drawn down until the balance is exhausted by age 90.

Under the baseline assumptions, moving from 4+4 to 6+6 contributions increases annual income from KiwiSaver by roughly one-third to one-half, depending on age. This is a meaningful improvement in retirement living standards. Even so, NZ Super remains the largest source of income at age 65. Higher contribution rates improve retirement outcomes, but NZ Super continues to play a central role in retirement incomes.

Table 4: illustrative increase in retirement savings when moving from 4+4 to 6+6

	Nominal balance at 65	Real balance at 65	Real annual income from KiwiSaver
Age 40	\$417,533 → \$574,385	\$254,920 → \$350,684	\$10,806 → \$14,886
Age 50	\$205,012 → \$271,605	\$152,579 → \$202,140	\$6,468 → \$8,569

The results show that higher contribution rates can materially increase retirement balances, particularly for younger cohorts with longer saving horizons. However, the gains depend not only on the contribution rate itself, but also on whether contributions are sustained over time. The next section examines this issue by considering the effect of contribution gaps and other KiwiSaver settings.

The impact of other settings

Higher contribution rates increase KiwiSaver balances, but the size of the gain depends on the consistency of savings and other KiwiSaver settings. Table 5 compares the same move from 4+4 to 6+6 contributions across different investment return assumptions, earnings levels and contribution patterns. The results show that contribution rates matter, but they are only one determinant of retirement outcomes.

Investment returns have a large effect on retirement balances. In the illustrative results, the difference between the conservative and growth-fund assumptions is of a similar order of magnitude to the gain from increasing total KiwiSaver contributions from 8% to 12% (4+4 to 6+6). This shows how differences in fund returns can alter retirement balances by amounts comparable to a substantial increase in contribution rates. Retirement outcomes therefore depend not only on how much people save, but also on how those savings are invested.

Earnings also matter. KiwiSaver is a work-based savings scheme, so retirement balances depend not only on contribution rates but also on earnings. A higher contribution rate applied to a lower wage can still produce a smaller retirement balance than a lower contribution rate applied to a higher wage. This is important when, for instance, comparing New Zealand with Australia. Differences in contribution rates receive most of the attention, but the earnings base on which those contributions are paid is also an important determinant of retirement outcomes.

Contribution continuity is also important. Interruptions reduce balances because they remove both the contribution itself and the investment return that contribution would otherwise have earned. The interaction

between contribution rates and contribution gaps is particularly important. As contribution rates rise, the cost of a missed contribution also rises. This means that higher contribution settings increase the potential gains from participation, but they also increase the losses associated with contribution breaks.

The implication is that contribution rates should not be considered in isolation. Retirement outcomes are shaped by interactions between contribution rates, investment returns, earnings and contribution continuity. If the role of KiwiSaver in the retirement income system is to increase then attention needs to be given not only to contribution settings but also to participation, contribution continuity and fund choice.

Table 5: illustrative increase in retirement savings when moving from 4+4 to 6+6 (40 year old)

Scenario	Real balance at 65
Conservative fund	\$220,455 → \$305,543
Growth fund	\$296,198 → \$404,374
Median wage (\$72,800)	\$238,005 → \$325,151
125% of median wage	\$280,540 → \$389,472
No gaps (4% + 4%)	\$254,920
No gaps (6% + 6%)	\$350,684
Gaps (4% + 4%) (1 year in 5 and 10 years)	\$239,185
Gaps (6% + 6%)	\$327,363

In this context, making KiwiSaver compulsory is sometimes raised as an option. However, the scheme already has relatively broad participation among people in paid work. Recent data show around 70% of members are contributing, rising to around 90% of those earning more than \$50,000 annually (Reyers, 2026).

The case for compulsion is therefore less about creating coverage from a low base and more about preserving participation if contribution rates are increased in the future. In a voluntary scheme, increasing the requirement for contributions may increase opt-outs or contribution suspensions; compulsory participation would reduce that risk.

A related issue is the distinction between legal incidence and economic incidence. The legal requirement to make KiwiSaver contributions may fall on employers, employees or both, but the long-run economic incidence is determined through labour-market adjustment. International evidence suggests that increases in compulsory retirement saving contributions are often offset through slower wage growth over time, rather than being determined solely by the legal incidence of the contribution. This distinction matters when considering moves toward compulsory participation or higher contribution rates.

The form of remuneration can nevertheless matter during transition periods. Under total remuneration arrangements, increases in KiwiSaver contributions may reduce take-home pay for workers with fixed remuneration packages, which can weaken the incentives to participate in KiwiSaver. As a result, the immediate effects of contribution increases may differ depending on how workers are remunerated.

Over time, however, labour-market adjustments are likely to offset these differences. The form of remuneration therefore affects the way reforms are experienced during the transition, rather than the long-run incidence of KiwiSaver contributions.

It is also possible to use the model to test the effect of KiwiSaver contributions made very early in life (such as at birth). While this is consistent with the compounding logic above (money contributed early has more time to earn returns) it operates over horizons that matter more for future generations than for the current cohorts considered in this paper. For a 10- to 30-year reform pathway, participation, contribution continuity, earnings and fund choice are more immediate drivers of outcomes.

This does not make early contributions irrelevant. They may have a place in very long-term system design, particularly if the aim is to shape saving habits and balances for future generations. But they do not address the current adequacy risks, or the transition risks created by NZ Super reform over a 10- to 30-year horizon.

KiwiSaver and NZ Super

When considering how higher KiwiSaver balances translate into retirement incomes, an important question is whether the additional funds represent new saving or simply replace saving that would have occurred through other channels. The 2025 Review of Retirement Income Policies noted that KiwiSaver differs from many overseas approaches because it relies heavily on defaults rather than large tax concessions (King, 2025). Research suggests defaults can influence the behaviour of passive savers who might not otherwise make active saving decisions. This means higher contribution rates and stronger participation settings have the potential to increase total saving, not just shift savings between different vehicles.

A second question is how additional saving affects retirement income. In this paper that is assessed using replacement rates, which compare retirement income with earnings immediately before retirement. The replacement rate used in the model is calculated by dividing first-year retirement income from KiwiSaver drawdown and NZ Super by projected after-tax employment income immediately before retirement. Earnings are projected forward using the model's wage-growth assumptions, so the measure compares retirement income with equivalent final working-life income at the same point in time.

Replacement rates provide a useful summary measure because they focus on the extent to which living standards can be maintained when moving from work into retirement. Higher replacement rates indicate that a greater share of pre-retirement income is available after retirement.

Table 6: KiwiSaver contribution rates and sources of income at retirement

Contribution setting	Replacement rate	NZ Super share of income at 65
4% + 4%	63.2%	79.5%
6% + 6%	68.1%	73.8%

The results show that stronger KiwiSaver settings improve replacement rates, reflecting the higher retirement income generated by larger balances. However, the effect is smaller than balance figures alone might suggest, as retirement income reflects an annual drawdown rather than the full stock of savings. Even so, the gains are meaningful. Moving from 4+4 to 6+6 contributions increases retirement income and replacement rates, improving retirement living standards. At the same time, NZ Super remains the largest

source of income at age 65, highlighting that stronger private saving complements rather than replaces the public pillar.

This means KiwiSaver reform should be viewed as part of a wider retirement income system that includes participation, contribution continuity, defaults, hardship settings, employer treatment and NZ Super. It also reinforces the importance of timing. Stronger KiwiSaver settings are most effective when introduced early and given time to accumulate, while cohorts close to retirement remain highly dependent on transition arrangements and NZ Super settings.

One way to show the scale of the challenge is to ask how much a person would need to save through KiwiSaver to replace NZ Super entirely. This is not a realistic proposal, but it provides a useful benchmark. The exercise starts with a baseline where a person has no KiwiSaver balance and receives NZ Super at 65. It then asks what KiwiSaver balance would be needed to provide the same annual income if NZ Super were removed, using the model's real-annuity drawdown to age 90. Under the baseline balanced-fund assumptions, the required saving rates are very high. For a 35-year-old on \$80,000, the required total saving rate is around 30% of income. For a person on \$72,800, it is around 32%. The required rate rises sharply for older cohorts because there is less time for contributions and investment returns to accumulate.

Table 7: saving rate needed to replace NZ Super

Current age	Required balance at 65 (real)	\$50,000 Income	\$72,800 Income	\$80,000 Income	\$120,000 Income
35	\$1.06m	47.1%	32.4%	29.5%	19.6%
45	\$0.91m	70.7%	48.6%	44.2%	29.5%
55	\$0.79m	141.4%	97.1%	88.4%	58.9%

The results underline why stronger KiwiSaver settings cannot be treated as a simple substitute for NZ Super. Higher-income earners need to save a lower share of income because the NZ Super amount being replaced is the same dollar value, while their contribution base is larger. Lower-income earners face the opposite problem: the same NZ Super entitlement represents a much larger share of earnings, so replacing it through earnings-based saving requires very high contribution rates. Moving to a growth fund helps, but it does not change the broad conclusion. In the \$80,000 case, a growth fund reduces the required saving rate for a 35-year-old from about 30% to about 26% of income. This is a meaningful improvement, but still well above current contribution settings. The effect is also smaller for older cohorts because there is less time for higher returns to compound. This reinforces the paper's broader point that KiwiSaver reform can build private saving capacity over time, but it cannot quickly replace the public income floor provided by NZ Super.

The main NZ Super levers: eligibility age, income testing and indexation

There are several ways governments can change the level or distribution of NZ Super. Three of the most commonly discussed options are changing the age at which eligibility begins, introducing some form of income testing, and changing indexation arrangements.² Raising the eligibility age delays access to NZ

² Income testing is a form of means-testing. However, means-testing can also incorporate assets or wealth, whereas the scenarios in this paper consider only income-based tests.

Super. Income testing reduces payments for people with other sources of income above a specified threshold. Indexation changes affect how NZ Super payments increase over time, for example by linking them to prices rather than wages. Although each approach can improve fiscal sustainability, they operate through different mechanisms and have different effects on adequacy, distribution and transition risk.

The choice of the NZ Super lever matters because each option shifts income risk in a different way. Raising the eligibility age changes when support begins, income testing changes who receives full support within a cohort, and indexation changes the value of payments through retirement. These levers affect different people, at different times, and should not be treated as interchangeable cost-saving tools.

Raising the eligibility age mainly changes when support starts. In the age-67 scenario, the replacement rate at age 65 is 13.0%, and NZ Super accounts for 0.0% of income at that age because eligibility has not yet begun. This result should not be interpreted as a forecast of likely retirement incomes under a higher eligibility age. Rather, it reflects the mechanical effect of delaying eligibility while holding retirement behaviour, labour-force participation and other sources of support constant.

In reality, many people would be expected to adjust by working longer, delaying retirement, drawing more heavily on private savings, relying on family support, or qualifying for other forms of income support. The model therefore illustrates the size of the income gap that would need to be bridged, rather than the income people would necessarily experience in practice. Fiscal savings are also likely to be smaller than the reduction in NZ Super expenditure alone would suggest because some of these responses would increase spending on other forms of income support.

Income testing works through a different channel. In the illustrative scenario used in this paper, NZ Super is reduced by 10 cents for every additional dollar of income above \$10,000 (in 2026 values). Unlike a higher eligibility age, the effect is concentrated on people with other sources of income rather than applying uniformly across the cohort. Under this particular design, the replacement rate falls to 50.6% and NZ Super accounts for 74.3% of income at age 65, although these figures would differ under alternative income thresholds, abatement rates and assessment rules. The main effect is therefore to redistribute support within a cohort rather than delay access to support altogether.

Income testing may also affect labour supply, especially if employment income is included in the test. The effect is theoretically ambiguous: lower NZ Super payments may encourage some people to remain in work to maintain their income, while abatement against earnings reduces the financial return to continued work. Australian evidence suggests that retirement-income settings can influence labour supply, particularly through decisions about whether to remain in work rather than through small adjustments in hours worked, although the direction and size of those effects depend on the specific policy design (Lane and Liu, 2026).

Indexation works differently again. The illustrative scenario assumes NZ Super is indexed to consumer prices rather than maintaining its current wage-linked arrangements. The replacement rate falls to 47.9% and NZ Super accounts for 72.9% of income at age 65. However, the effect emerges gradually through time rather than at a single point. Each year's payment remains available, but its value grows more slowly relative to earnings, resulting in a cumulative reduction in retirement income over the course of retirement.

As a result, much of the cost of the policy change is borne by those who spend the longest in retirement, because they experience more years of slower growth in payments. Unlike a higher eligibility age, which concentrates its effect around the transition into retirement, changes to indexation accumulate gradually and become larger at older ages.

These results show why the levers should not be treated as interchangeable. Eligibility age changes fall on people at a specific age and create a concentrated transition problem. Income testing differentiates within cohorts. Indexation changes reduce payments more broadly and cumulatively. A dollar of fiscal saving from one lever is not the same as a dollar from another if it falls on different people, at different ages, and with different capacity to adjust. These distributional differences are central to understanding both the effects of reform and the difficulty of building agreement on change.

Table 8: comparison of different retirement income policy levers

Scenario	Replacement rate	NZ Super share of income at 65
Baseline	63.2%	79.5%
6% + 6%	68.1%	73.8%
67 age of eligibility	13.0%	0.0%
CPI indexation	47.9%	72.9%
Income testing (10% above \$10,000, 2026 value)	50.6%	74.3%

What do the individual scenarios imply for retirement income reform?

The scenario results suggest that stronger private saving can improve retirement outcomes but cannot fully offset reductions in NZ Super at retirement entry. Moving from 4+4 to 6+6 contributions increases the replacement rate from 63.2% to 68.1%, reflecting the higher retirement income generated by larger KiwiSaver balances. However, in the age-67 scenario the replacement rate at age 65 falls because NZ Super has not yet commenced. Higher private saving therefore improves retirement income but does not remove the exposure created when public support is delayed.

This highlights how the timing of retirement income can be as important as its overall level. Higher KiwiSaver balances improve income throughout retirement, but they do not automatically bridge the gap created when NZ Super eligibility is postponed. The interaction between the two pillars is therefore shaped as much by timing as by the overall level of retirement resources.

Table 9: selected relative effects from the scenario modelling

Mechanism tested	Baseline result	Policy interpretation
Higher KiwiSaver contribution rates	For a 40-year-old, the real balance rises from \$254,920 to \$350,684 when moving from 4+4 to 6+6; for a 50-year-old, it rises from \$152,579 to \$202,140.	Higher rates lift balances, but the effect is larger for people with more years to contribute.
Returns and earnings assumptions	The same 4+4 to 6+6 comparison moves from \$220,455 to \$305,543 in the conservative fund case, and from \$296,198 to \$404,374 in the growth fund case.	Assumptions about returns and earnings materially affect the size of the gain.
Contribution gaps	With gaps, the 4+4 balance is \$239,185 and the 6+6 balance is \$327,363, compared with \$254,920 and \$350,684 with no gaps.	Contribution continuity matters alongside the contribution rate.

Impact on retirement income	The replacement rate rises from 63.2% to 68.1% when moving from 4+4 to 6+6, while NZ Super's share of income at 65 falls from 79.5% to 73.8%.	Higher KiwiSaver contributions help, but NZ Super remains central at retirement entry.
Eligibility age change	The age-67 case has a replacement rate of 13.0% and an NZ Super share of income at 65 of 0.0%.	Delaying eligibility creates a sharp income gap at 65 unless people can keep working or draw on other resources.
Indexation change	The CPI-indexation case has a replacement rate of 47.9% and an NZ Super share of income at 65 of 72.9%.	Indexation changes affect income differently from an eligibility-age change.
Income testing	The 10% income test above \$10,000 has a replacement rate of 50.6% and an NZ Super share of income at 65 of 74.3%.	Income testing changes the distribution of support within a cohort rather than simply delaying support for everyone.
Sequencing	The 60–65 cohort has very limited scope to adjust; 55–59 has limited scope; 45–54 has some scope; and 35–44 has high scope.	Timing determines who can realistically respond before changes take effect.

What drives variation across the scenario set

The preceding sections use selected comparisons to illustrate how particular policy settings affect retirement outcomes. The following section takes a broader perspective, drawing on the full set of scenarios that combine NZ Super and KiwiSaver settings with cohort position, earnings, contribution histories and household type. Rather than focusing on individual comparisons, the aim is to identify the factors that most consistently explain differences in outcomes across the wider scenario set. The results show that variation is largely driven by adjustment time, income level, and the extent to which retirement income depends on NZ Super or KiwiSaver.

Cohorts and timing of reform

The scenario results suggest that the effects of NZ Super reform depend heavily on when changes take effect and which cohorts are exposed to them. As an illustration, consider implementation dates of 2031–32, 2036–37, 2041–42 and 2046–47. These dates correspond broadly to notice periods of five, ten, fifteen and twenty years respectively.

Table 10: factors with the greatest influence on retirement outcomes by cohort

Current age	Factors that matter most
35–44	Contribution rates, contribution continuity, investment returns and long-run NZ Super settings all materially influence outcomes because there is sufficient time for policy changes to accumulate and for people to adjust.
45–54	Both KiwiSaver and NZ Super settings matter. There is still time for additional saving, but transition risks begin to become more important.
55–59	NZ Super settings, particularly eligibility age and indexation, become increasingly important. There is less time for KiwiSaver changes to alter outcomes materially.
60–65	Outcomes are dominated by NZ Super settings and transition arrangements because there is very little time to respond through additional saving.

A reform taking effect in 2031–32 would primarily affect people currently aged 60–65. For this group, most major retirement decisions have already been made. Home ownership, labour-force attachment, savings behaviour and retirement expectations are often well established. The main policy issue for this cohort is therefore transition risk. Their challenge is a lack of time to adapt.

A reform taking effect in 2036–37 would primarily affect people currently aged 55–59. Ten years provides more scope for additional saving, later retirement or continued work than is available to the 60–65 cohort, but it is still a short period over which to materially alter retirement balances through compounding alone. For this cohort, outcomes depend on the design of the NZ Super change and on whether people can adjust their work and saving behaviour.

A reform taking effect in 2041–42 would primarily affect people currently aged 45–54. This group has approximately fifteen to twenty years before retirement. At this horizon, contribution continuity, investment returns and saving decisions can materially influence retirement outcomes. There is still transition risk, but outcomes depend increasingly on saving and work decisions rather than the immediate transition itself. For these cohorts, the distinction between NZ Super reform and KiwiSaver policy becomes important, because there is more time for additional private saving to offset some changes in public support.

A reform taking effect in 2046–47 would primarily affect people currently aged 35–44. More than twenty years remain before retirement, giving this group substantial scope to alter saving and work patterns. Across the scenarios, outcomes for these cohorts are driven mainly by long-run factors such as earnings trajectories, contribution rates, contribution continuity and investment returns. These cohorts face the longest exposure to policy settings but also have the most time to respond.

The key issue is adjustment time. With five years' notice, most outcomes are determined by transition arrangements. With ten years' notice, some adjustment is possible. With fifteen to twenty years' notice, outcomes are increasingly shaped by saving and employment decisions.

Income groups and sources of retirement income

The scenario results also highlight important differences across income groups. While age determines how much time people have to adjust, income affects both the capacity to respond and the relative importance of KiwiSaver and NZ Super in retirement.

For higher-income earners, changes to KiwiSaver settings tend to have larger effects because contributions are linked to earnings. A move from 4+4 to 6+6 contributions on a salary of \$120,000 generates twice the additional annual contribution of the same change on a salary of \$60,000. Over a working life, these larger contributions earn additional investment returns and can produce substantial differences in retirement balances. Higher-income households are also more likely to have other financial assets and therefore greater capacity to respond to policy change through additional saving, portfolio adjustments or delayed retirement. Across the scenario set, variation in retirement outcomes for higher-income groups is driven primarily by contribution rates, investment returns and contribution continuity.

For middle-income earners, both KiwiSaver and NZ Super matter. These households often accumulate sufficient KiwiSaver savings for changes in contribution rates and investment returns to have noticeable effects on retirement income, while still relying heavily on NZ Super as a source of secure lifetime income. This means they are exposed to both private-saving and public-pension reforms. In many cases, this group experiences the greatest interaction between KiwiSaver and NZ Super settings because neither source of income is dominant on its own.

For lower-income earners, retirement outcomes remain more dependent on NZ Super. Lower earnings mean lower dollar contributions at a given contribution rate, reducing the extent to which KiwiSaver can offset changes in public support. A person earning \$50,000 may see some improvement in retirement income from higher KiwiSaver contributions but will often remain substantially more reliant on NZ Super than a person earning \$120,000. As a result, reforms affecting NZ Super eligibility, indexation or income testing account for a larger share of the variation in retirement outcomes for lower-income households.

The scenario results suggest that income level also influences adjustment capacity. Consider a higher NZ Super eligibility age introduced in 2036–37. A higher-income 55-year-old may have scope to respond through additional saving, longer workforce participation or use of other assets. A lower-income 55-year-old with limited savings may have fewer adjustment options available. Similarly, a change from wage to CPI indexation may be absorbed relatively easily by someone with substantial private savings, while having a much larger effect on somebody for whom NZ Super remains the primary source of retirement income.

Income testing illustrates these differences particularly clearly. By design, it concentrates its effects on those with other sources of income. Higher-income retirees are therefore more likely to experience reductions in NZ Super under an income-tested system, while lower-income retirees may be largely unaffected. The distributional effects arise within cohorts rather than between cohorts, producing a different pattern from eligibility-age or indexation reforms.

Conclusion

The modelling shows that the effects of retirement income reform depend heavily on timing and individual circumstances. Stronger KiwiSaver settings can build private saving capacity over time, while NZ Super settings shape the income floor available as cohorts reach retirement. The interaction between the two means that the distributional effects of reform vary substantially across generations.

While the modelling does not identify a single optimal timetable for NZ Super reform, it does point to the importance of transition periods. Cohorts close to retirement face the greatest difficulty adjusting to changes because they have limited time to rebuild savings, alter work patterns or revise retirement plans. Younger cohorts, by contrast, have greater scope to respond through changes in saving, employment and retirement decisions.

A decade-scale lead time is therefore more consistent with the adjustment margins observed in the modelling. It would allow contribution changes to accumulate into higher balances, provide mid-life cohorts with a realistic opportunity to adapt, and reduce the risk of abrupt income losses for those approaching retirement. Longer lead times would further reduce transition risk, but at the cost of delaying fiscal savings.

The policy implication is a two-step approach. First, strengthen private saving capacity through KiwiSaver. Second, introduce any major NZ Super changes only after affected cohorts have had meaningful time to adjust. The central lesson from the modelling is that successful reform depends not only on the policy settings ultimately adopted, but also on the time available for people to prepare for them.

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